Superior Court of the State of California, County of Orange

TENTATIVE RULINGS FOR DEPARTMENT C16

HON. JUDGE CARMEN R. LUEGE

Date: August 28, 2026
Posted: August 27, 5:00 PM

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative Rulings: The Court will endeavor to post tentative rulings on the Court's website by 4:30 p.m. on Thursday. Do NOT call the Department for a tentative ruling if none is posted. **The Court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been posted.**

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5216. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

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#	Case Name	Tentative
26	**Joslin vs. Fidelity National Law Group** **24-01440293**	**1. Demurrer to Amended Complaint** **2. Motion to Strike Portions of Complaint** No Tentative Ruling. Parties to Appear on Zoom or in Person.
49	**Covarrubias vs. C Plus Electronics, Inc.** **25-01525830**	**Motion to Dismiss** The Motion to Dismiss brought by Defendants C Plus Electronics, Inc. and Froilan Becerra is GRANTED in part, pursuant to Code of Civil Procedure section 410.30. This action shall be stayed, to permit Plaintiff to pursue litigation in Mexico. The request for a dismissal is denied. Defendants' Request for Judicial Notice is GRANTED, pursuant to Evidence Code section 452, subdivision (d). Plaintiff's Request for Judicial Notice is GRANTED, as to Exhibit 3, pursuant to Evidence Code section 452, subdivision (f). The remainder of Plaintiff's Request for Judicial Notice is DENIED, as irrelevant. While Exhibits 1 and 2 are court records which generally may be noticed pursuant to Evidence Code section 452, subdivision (d), the offered court records arise from an unrelated action. Plaintiff has not established that the documents are relevant to this motion. (Zucchet v. Galardi (2014) 229 Cal.App.4th 1466, 1474, fn. 5, citing Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison (1998) 18 Cal.4th 739, 748, fn. 6.) "When a court upon motion of a party or its own motion finds that in the interest of substantial justice an action should be heard in a forum outside this state, the court shall stay or dismiss the action in whole or in part on any conditions that may be just." (Code of Civ. Proc., §410.30, subd. (a).) "Forum non conveniens is an equitable doctrine invoking the discretionary power of a court to decline to exercise the jurisdiction it has over a transitory cause of action when it believes that the action may be more appropriately and justly tried elsewhere." (Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 751.) "In determining whether to grant a motion based on forum non conveniens, a court must first determine whether the alternate forum is a 'suitable' place for trial. If it is, the next step is to consider the private interests of the litigants and the interests of the public in retaining the action for trial in California." (Ibid.) With respect to the first question of suitability, "[a]n alternative forum is suitable if it has jurisdiction and the action in that forum will not be

barred by the statute of limitations." (Guimei v. General Electric Co. (2009) 172 Cal.App.4th 689, 696.)

"It is well settled under California law that the moving parties satisfy their burden on the threshold suitability issue by stipulating to submit to the jurisdiction of the alternative forum and to waive any applicable statute of limitations." (Hahn v. Diaz-Barba (2011) 194 Cal.App.4th 1177, 1190.) "It is apparent that when the defendants meet this burden, a burden of production falls on the plaintiffs if they wish to show the alternative forum is nonetheless unsuitable because the action cannot be brought there despite the defendants' stipulations." (Id. at p. 1191.) The burden "'quickly shifts to the plaintiff on the issue of appropriateness of the alternative forum once the defendant consents to jurisdiction in the alternative forum.'" (Ibid.) "If the plaintiffs produce competent and persuasive evidence showing that despite the defendants' stipulations the action cannot be brought in the alternative forum, it is then the defendants' burden to respond with countervailing evidence as they have the ultimate burden of persuasion." (Ibid.)

Here, Defendant Froilan Becerra, the President and Chief Executive Officer of C Plus Electronics, Inc. declares: "C Plus Electronics, Inc. and I are willing to submit to jurisdiction in Mexico should this Court dismiss this action based on forum non conveniens." (¶1 and ¶9 of Becerra Declaration.) Additionally, Defendant states: "We agree to toll of the statute of limitations during the pendency of the actions in California." (¶10 of Becerra Declaration.)

In response to the above showing, "Plaintiff concedes for purposes of this Motion that Mexico can potentially be a suitable forum" (Opposition: 8:9-10); however, Plaintiff nonetheless asserts the offered stipulation is insufficient.

Plaintiff asserts the applicable statute of limitations in Mexico is one-year and that, regardless of the offer to toll the limitations period while actions were pending in California, the statute of limitations "would have lapsed in September 2024." (Opposition: 8:16-18.)

Multiple Courts have found stipulations which tolled the statute of limitations "during the pendency of the proceedings in California," sufficient to demonstrate a suitable alternative forum. (See Chong v. Superior Court (1997) 58 Cal.App.4th 1032, 1038; See also Shiley Inc. v. Superior Court (1992) 4 Cal.App.4th 126, 131-132 and Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 752.) However, it does not appear that application of the statute of limitations was further challenged within these actions.

It is unclear whether Plaintiff's claims will in fact be barred, under Mexican law. To demonstrate the same, Plaintiff cites Mexican Federal

		Labor Law which states: "Labor actions are subject to the statute of limitations of one year, counted from the day following the date on which the obligation becomes due…" (See Exhibit 3 of Plaintiff's RJN [ROA No. 27].) While Plaintiff indicates this action arises from her employment with Defendant (¶8 of Complaint), Plaintiff has not established the above "labor action" limitation applies where, as here, her employment was governed by an express contract. (¶20 of Complaint.) Defendants did not respond to this argument. Regardless, where the determination that a foreign court is suitable is "based in part on the promises and stipulations entered into by defendants in this forum" and "based on our own analysis of [Mexico's] statutes of limitations," the appropriate course of action is to stay, rather than dismiss. (Investors Equity Life Holding Co. v. Schmidt (2015) 233 Cal.App.4th 1363, 1368.) "[W]hen the assessment of the alternative forum's suitability is dependent upon factors beyond the control of the California courts – such as the interpretation of another state's laws – then a stay of the California litigation might be justified, when an outright dismissal would not be." (Id. at p. 1376.) Applying the above herein, the Court finds that Mexico is a suitable forum; however, this determination is based on Defendants' having indicated they will submit to the jurisdiction of Mexico and based on Defendants apparent representation that the statute of limitations will pose no bar to this action, in Mexico. Given the same, the Court will merely stay and not dismiss this action. To any extent it is later determined that Plaintiff's claims cannot proceed in Mexico, due to the statute of limitations or lack of jurisdiction, the stay herein will be lifted. Proceeding to the private and public interests, the Court finds the same weigh in favor of Mexico. "The private interest factors are those that make trial and the enforceability of the ensuing judgment expeditious and relatively inexpensive, such as the ease of access to sources of proof, the cost of obtaining attendance of witnesses, and the availability of compulsory process for attendance of unwilling witnesses." (Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 751.) "The public interest factors include avoidance of overburdening local courts with congested calendars, protecting the interests of potential jurors so that they are not called upon to decide cases in which the local community has little concern, and weighing the competing interests of California and the alternate jurisdiction in the litigation." (Ibid.)

Here, it is undisputed that Defendants reside in California, while Plaintiff resides in Mexico. (See ¶2 of Ruddell Declaration and Exhibit A thereto; See also ¶3 of Becerra Declaration.)

Where a Plaintiff resides outside the state, their "choice of forum is much less reasonable and is not entitled to the same preferences as a resident of the state where the action is filed." (Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 755.) As explained by the California Supreme Court, the fact a foreign Plaintiff chose to file their Complaint in California "is not a substantial factor in favor of retaining jurisdiction here." (Ibid.)

However, "Defendant's residence is also a factor to be considered in the balance of convenience." (Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 756.) "[W]hen the defendant is a California resident, California is a presumptively convenient forum, but the presumption may be overcome by showing that the alternate jurisdiction is a more convenient place for trial of the action." (Campbell v. Parker-Hannifin Corp. (1999) 69 Cal.App.4th 1534, 1541; See also Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 756.)

While Defendants' residence in California makes the state presumptively convenient, Defendants have rebutted this presumption by reference to the location of evidence.

Per Defendants "[a]ll of Ms. Covarrubias's customer contacts were Mexican entities located in Mexico" and "[h]er communications regarding customer accounts were conducted in Spanish with Mexican businesses." (¶4 of Becerra Declaration.) Additionally, per Defendants, the relevant Mexican customers will "have first-hand knowledge of disputed transactions, payment issues, product returns, and credits that directly affect the commission calculations at issue in this case." (¶7 of Becerra Declaration; See also ¶5 of Becerra Declaration.) Defendants indicate, finally, that "[d]ue to an incident involving the loss of certain computer files at C Plus, we do not have complete internal records of all transactions." (¶6 of Becerra Declaration.) "To prove that Ms. Covarrubias's commission calculations are incorrect, we need to rely on the records and testimony of the Mexican companies to which those sales were made." (Ibid.)

The above is sufficient to establish that important evidence is in Mexico. While Plaintiff attempts to dispute the above, she does so primarily via a declaration made on "information and belief." (¶6 of Covarrubias Declaration.) However, "[a]n affidavit based on 'information and belief' is hearsay and must be disregarded [citation removed] and it is 'unavailing for any purpose' whatsoever." (Star Motor Imports, Inc. v. Superior Court (1979) 88 Cal.App.3d 201, 204.)

		Additionally, Plaintiff declares she was told by Mr. Becerra, on March 27, 2019, "that the C Plus computer system had been hacked and data from 2018 and 2019 was lost…." (¶9 of Covarrubias Declaration.) While Plaintiff asserts the above is the "incident involving the loss of certain computer files" referenced by Mr. Becerra and further asserts the above will not affect data relating to commissions earned between 2021 and 2023, this argument is speculative. Regardless of Plaintiff's speculation as to the cause, Mr. Becerra declares under penalty of perjury that Defendants "do not have complete internal records of all transactions." (¶6 of Becerra Declaration While Plaintiff proceeds to indicate that, "[a]side from myself, I am not aware of any other witnesses in Mexico who are necessary to the resolution of this dispute" (¶7 of Covarrubias Declaration), it nonetheless appears that important evidence is located only in Mexico, beyond the reach of California courts. Plaintiff does not dispute that documents and witnesses located in Mexico cannot be compelled to appear in California. Pursuant to Code of Civil Procedure section 1989, a witness "is not obliged to attend as a witness before any court, judge, justice or any other officer, unless the witness is a resident within the state at the time of service." In contrast, Defendants have agreed to make documents in their possession available in Mexico, as well as to present employees to testify in Mexico. (¶11-¶12 of Becerra Declaration.) Based on the above, the private interests weigh in favor of Mexico. With respect to the public interests, "a state has a strong interest in assuring its own residents an adequate forum for the redress of grievances." (Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 754-755.) Based on the same, Mexico has a strong interest, with respect to its resident, Plaintiff. Plaintiff recognizes that "Mexico certainly has at least some interest in the employment of its residents even when working for foreign corporations" (Opposition: 11:21-22), but nonetheless asserts California has an interest in deciding actions against California corporations. While California has an interest in deterring wrongful conduct by California corporations, the Court finds that "the additional deterrence that would result if defendants were called to account for their allegedly wrongful conduct in a California court rather than in the courts of [Mexico] would be negligible." (Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 754-759.)

		Consequently, the public interest weighs in favor of Mexico. Based on all the above, the Motion is GRANTED, with the limitation that this action shall be stayed, rather than dismissed.
50	**Banc vs. Plaza Continental Group LLC** **25-01496549**	**Demurrer to Amended Cross-Complaint** The Demurrer to the First Amended Cross Complaint brought by Cross-Defendant Nano Banc is SUSTAINED, in whole, with 20 days leave to amend. Cross-Defendant's Request for Judicial Notice is GRANTED, with the limitation that the Court notices only the existence of the Notice of Default and not the truth of any factual statements therein. (Poseidon Development, Inc. v. Woodland Lane Estates, LLC (2007) 152 Cal.App.4th 1106, 1117.) The demurrer to the First Cause of Action for Breach of Contract is SUSTAINED, as the Cross-Complaint does not adequately allege performance, as required. (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) The Cross-Complaint alleges Borrower fully performed all obligations required under the Loan Agreements or was excused from further performance due to Cross-Defendant's breaches." (¶48 of FACC.) While the above general allegation would typically suffice (See Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1389 and Code Civ. Proc., § 457), "general pleadings are controlled by specific allegations." (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1389.) "Thus, a general allegation of due performance will not suffice if the plaintiff also sets forth what has actually occurred and such specific facts do not constitute due performance." (Id. at pp. 1389-1390.) In contrast to the allegations of performance, several allegations within the Cross-Complaint suggest Cross-Complainant did not pay the loan before the maturity date and, instead, continued tendering monthly payments "expecting the Bank to implement the promised restructuring…" (See ¶74 of FACC; See also ¶30, ¶31.) In light of the above specific allegations which contradict the general assertion of performance, Cross-Complainant has not adequately alleged this element of its claim. Similarly, Cross-Complainant has not adequately alleged a breach. While the opposition suggests that pre-maturity breaches have been alleged,

		which survive demurrer (See Opposition: 4:9-13), no such breaches are clearly identified. The claim only alleges Cross-Defendant breached the Loan Agreements by “willfully and unreasonably refusing to accept valid loan payments and improperly placing Borrower in default.” (¶49 of FACC.) The Cross-Complaint does not identify the date of the alleged breach. Per judicially noticeable documents, a Notice of Default was not recorded until May 20, 2025, a date which falls after maturity. (See Exhibit 2 of RJN.) While the Cross-Complaint alleges Defendant sent a “notice[] of default and reservation-of-rights letter” on March 10, 2025 (See ¶29 of FACC), the Complaint does not allege this letter breached the Loan Agreements or resulted in any damage to Complainant. Instead, the alleged damages appear tied to default: “Borrower has suffered damages in an amount to be proven at trial, including, but not limited to, damage to Borrower’s credit, lost business opportunities, and increased default interest and fees.” (¶51 of FACC.) To the extent Cross-Complainant intended to allege pre-maturity breaches, the same have not been clearly stated: “Facts alleging a breach, like all essential elements of a breach of contract cause of action, must be pleaded with specificity.” (Levy v. State Farm Mut. Auto. Ins. Co. (2007) 150 Cal.App.4th 1, 6.) The demurrer to the Second Cause of Action for Breach of the Implied Covenant is SUTAINED, on the basis the claim is duplicative or insufficiently alleged. (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394.) Here, the Second Cause of Action alleges Cross-Defendant “interfered with Borrower’s right to receive the benefits of the Loan Agreements by refusing to accept or properly credit valid payments and by taking steps designed to create a false record of arrears or default,” an allegation which mirrors the breach of contract claim. (See ¶49 and ¶55 of FACC.) While the Cross Complaint proceeds to allege that “Cross-Defendant also manipulated internal risk and impairment classifications and used those manufactured issues to justify punitive servicing and enforcement positions against Borrower” (¶56 of FACC), this appears to merely restate the allegation of a wrongful default. To the extent “punitive servicing and enforcement positions” is not a reference to default, it is wholly unclear what Complainant is referring to. To the extent the above is a reference to the allegation Defendant “engineer[ed] widespread loan impairments, falsely classifying performing loans as non-performing, and obstructing legitimate restructurings” (¶36 of FACC), the allegation appears to go beyond the scope of the Loan Agreements, to which the identified covenant is tied: The covenant cannot “be endowed with an existence independent of its

		contractual underpinnings" and "cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of the agreement." (Guz v. Bechtel Nat. Inc. (2000) 24 Cal.4th 317, 349-350.) To allege a breach of the implied covenant, the allegations must "demonstrate[] a failure or refusal to discharge contractual responsibilities, prompted not by an honest mistake, bad judgment or negligence but rather by a conscious and deliberate act, which unfairly frustrates the agreed common purpose and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement." (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 13711395.) As the only conduct which alleges a clear injury to a contractual benefit mirrors the First Cause of Action, the demurrer to this claim is sustained. The demurrer to the Third Cause of Action for Breach of Implied Contract is SUSTAINED, on the basis the claim is barred by the statute of frauds. Pursuant to Civil Code section 1624, subdivision (a)(3), an agreement for an interest in property is invalid, "unless they, or some note or memorandum thereof, are in writing and subscribed by the party to be charged or by the party's agent." "That includes a promissory note and a deed of trust securing performance under the note." (Rossberg v. Bank of America, N.A. (2013) 219 Cal.App.4th 1481, 1503.) "An agreement to modify a contract that is subject to the statute of frauds is also subject to the statute of frauds." (Ibid.) Where a contract subject to the statute of frauds is alleged, the pleader "must allege a written contract signed by [Defendant]." (Id. at p. 1503.) The failure to do so, "is a legal issue properly decided on demurrer." (Ibid.) In responding to the demurrer, Complainant concedes the statute of frauds applies (Opposition: 5:22-24), but asserts the allegations are sufficient to avoid the bar created by the same. "To satisfy the 'writing' requirement of the statute of frauds, the writing may be cobbled together from various documents [citation], but must still 'identif[y] the subject of the parties' agreement, show[] that they made a contract, and state[] the essential contract terms with reasonable certainty." (Smyth v. Berman (2019) 31 Cal.App.5th 183, 197.)

		The allegation the "agreement was evidenced by the parties' course of conduct and communications during the negotiations" (¶63 of FACC), is insufficient to meet the above standard. Similarly, Complainant has not alleged sufficient facts to invoke equitable estoppel: "A party may be estopped from asserting the statute of frauds as a defense to a contract in order to 'prevent fraud that would result from refusal to enforce [an] oral contract." (Smyth v. Berman (2019) 31 Cal.App.5th 183, 198.) "Before estoppel applies, the party so pleading must allege that refusal to enforce the oral contract will result in (1) 'unconscionable injury' because the party pleading estoppel 'seriously…chang[d] its position in reliance on the [oral] contract,' or (2) the 'unjust enrichment' of the party pleading the statute of frauds as a defense because that party 'receiv[ed] the benefits of the other's performance.'" (Ibid.) Of note, the Court in Smyth held that "[t]he payment of money is not 'sufficient part performance to take an oral agreement out of the statute of frauds'" and "'the alleged loss of opportunities to purchase other land does not amount to a change of position' sufficient to excuse noncompliance with the statute of frauds." (Smyth v. Berman (2019) 31 Cal.App.5th 183, 199.) Here, Complainant relies on allegations which assert "Borrower and other Continuum-related borrowers complied with the interim requirements the bank demanded…including executing interim loan documents and facilitating reserve set-asides," however, the above allegation appears to improperly refer to the reliance of third-parties. (See ¶27 of FACC.) Notably, the allegations specific solely to Complainant allege only that Complainant maintained performance of the existing Loan Agreements and refrained from pursuing alternative refinancing or restructuring options. (See ¶30 and ¶64 of FACC.) The above allegations are insufficient to allege, either, a serious change in position or unjust enrichment of Cross-Defendant. Indeed, rather than alleging a change in position, the above allegations assert Complainant maintained the status quo, under the existing Loan Agreements. Additionally, the demurrer to the Third Cause of Action is SUSTAINED, as Cross-Defendant persuasively asserts the claim fails to allege the parties agreed on all necessary terms. "The general rule is that if an 'essential element' of a promise is reserved for the future agreement of both parties, the promise gives rise to no legal obligation until such future agreement is made." (City of Los Angeles v. Superior Court of Los Angeles County (1959) 51 Cal.2d 423,

433.) Additionally, "[a] loan commitment is not binding on the lender unless it contains all of the material terms of the loan, and either the lender's obligation is unconditional or the stated conditions have been satisfied. When the commitment does not contain all of the essential terms…the prospective borrower cannot rely reasonably on the commitment, and the lender is not liable for either a breach of the contract or promissory estoppel." (Peterson Development Co. v. Torrey Pines Bank (1991) 233 Cal.App.3d 103, 115.)

While the Cross-Complaint alleges an agreement which provided for an extension, a partial paydown of the outstanding loan balance, "the release of certain loan reserves," lower interest rates and a revised repayment schedule (¶24 of FACC), the specific amounts and terms are not identified.

The demurrer to the Fourth and Fifth Causes of Action for Fraudulent and Negligent Misrepresentation is SUTAINED.

"The well-known elements of a cause of action for fraud are: (1) a misrepresentation, which includes a concealment or nondisclosure; (2) knowledge of the falsity of the misrepresentation, i.e., scienter; (3) intent to induce reliance on the misrepresentation; (4) justifiable reliance; and (5) resulting damages." (Cadlo v. Owens-Illinois, Inc. (2004) 125 Cal.App.4th 513, 519 [emphasis added].) "The same elements comprise a cause of action for negligent misrepresentation, except there is no requirement of intent to induce reliance." (Ibid.) "In both causes of action, the plaintiff must plead that he or she actually relied on the misrepresentation." (Ibid.)

"Each element in a cause of action for fraud or negligent misrepresentation must be factually and specifically alleged." (Cadlo v. Owens-Illinois, Inc. (2004) 125 Cal.App.4th 513, 519.)

"The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

To support this claim, Complainant directs the Court to ¶23 and ¶24 of the Cross-Complaint, which allege in relevant part: "In early 2025, Conitnuum Analytics, Inc. ('Continuum'), consultant to Borrower, Guarantors, and a number of other Bank borrowers, and the Bank began negotiating a loan extension and reserve funding for loans issued to Skolem Group, LLC ('Skolem Group') and Hilbert Group, LLC ('Hilbert Group')…." (¶23 of FACC.) Per the Complaint, Cross-Defendant "expressly agreed that in exchange for initially modifying the Skolem and

		Hilbert Loans on terms that were highly favorable to the Bank…the Extending Loans would all be restructured shortly thereafter." (¶24 of FACC.) Per the Complaint, the instant loans are included within the "Extending Loans." (¶23 of FAC.) The Cross-Complainant alleges the above misrepresentations were made "to Borrower (conveyed through Continuum and its representatives." (¶69 of FACC.) While the Complaint alleges the speakers on behalf of Cross-Defendant were Max Prendergast and Andrew Meitzen (¶23-¶24 of FACC), the Cross-Complaint does not identify to whom within Continuum, the representations were allegedly made. Additionally, as noted by Cross-Defendant, the allegations do not specify whether the alleged misrepresentations were oral or written, nor do they specify the exact restructuring terms purportedly promised. (See ¶23-¶24 and ¶69 of FACC.) While it is true that "the requirement of specificity is relaxed when the allegations indicate that 'the defendant must necessarily possess full information concerning the facts of the controversy" (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 158), the Complaint alleges the misrepresentations were communicated to Complainant, via a third-party. Necessarily Cross-Defendant does not have full information concerning this third party nor full information, as to what this third-party communicated to Complainant (purportedly on its behalf.) In addition to the above, the demurrer to the Fifth Cause of Action for Negligent Misrepresentation is SUSTAINED, as Cross-Complainant concedes it is attempting to allege a variation of a "false promise." (Opposition: 6:23-7:10 and 7:28-8:3.) However, "[t]he specific intent requirement…precludes pleading a false promise claim as a negligent misrepresentation." (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 159." "Simply put, making a promise with an honest but unreasonable intent to perform is wholly different from making one with no intent to perform and, therefore, does not constitute a false promise. Moreover, we decline to establish a new type of actionable deceit: the negligent false promise." (Ibid.) Lastly, the demurrer to the Sixth Cause of Action brought under the UCL is SUSTAINED, on the basis Cross-Complainant has failed to plead any unlawful, unfair or fraudulent conduct with particularity. "California's unfair competition law 'prohibits unfair competition, which is defined as 'any unlawful, unfair or fraudulent business act or

		practice…" (Bernardo v. Planned Parenthood Federation of America (2004) 115 Cal.App.4th 322, 351.) The Sixth Cause of Action alleges: "Cross-Defendant has engaged in unlawful, unfair, and fraudulent business practices in violation of Business & Professions Code § 17200 et seq. by its conduct as detailed herein, including: a. making false promises of a loan restructuring; b. misrepresenting the existence of borrower defaults; c. refusing to accept valid loan payments; and d. engaging in internal loan impairment manipulation." (¶84 of FACC.) While Cross-Complainant attempts to invoke all three varieties of unfair competition, it plainly fails to allege unlawful conduct: "[A] violation of another law is a predicate for stating a cause of action under the UCL's unlawful prong." (Berryman v. Merit Property Management, Inc. (2007) 152 Cal.App.4th 1544, 1554.) Here, Complainant does not allege Cross-Defendant violated any law. "Under the UCL's unfairness prong, courts consider either: (1) whether the challenged conduct is 'tethered to any underlying constitutional, statutory or regulatory provision, or that it threatens an incipient violation of an antitrust law, or violates the policy or spirit of an antitrust law,' [citation]; (2) whether the practice is 'immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers,' [citation]; or (3) whether the practice's impact on the victim outweighs 'the reasons, justifications and motives of the alleged wrongdoer.'" (Naranjo v. Doctors Medical Center of Modesto, Inc. (2025) 111 Cal.App.5th 408, 437.) "The fraudulent business practice prong of the UCL has been understood to be distinct from common law fraud." (Capito v. San Jose Healthcare System, LP (2024) 17 Cal.5th 273, 291.) "Historically, the term 'fraudulent,' as used in the UCL, has required only a showing that members of the public are likely to be deceived." (Ibid.) "It may be based on representations to the public which are untrue, and 'also those which may be accurate on some level, but will nonetheless tend to mislead or deceive….'" (Naranjo v. Doctors Medical Center of Modesto, Inc. (2025) 111 Cal.App.5th 408, 435.) "The determination as to whether a business practice is deceptive is based on the likely effect such practice would have on a reasonable consumer." (Ibid.) To support the claim brought pursuant to the UCL, Complainant directs the Court to ¶32 through ¶44, which purports to allege "targeted sabotage," "coordinated loan manipulation," and "fabricated defaults." (See Opposition: 9:10-12.) Initially, the majority of the relied upon allegations are made on "information and belief." Such allegations are improper, where a Complaint fails to allege "such information that

		lead[s] [the plaintiff] to believe that the allegations are true." (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 551, fn. 5.) Thereafter, the Cross-Complaint alleges Cross-Defendant has "actively worked to undermine Bank borrowers with ties to Continuum" (¶33 of FACC) and "sought to force the sale of certain loans – specifically those associated with Continuum and its stakeholders." (¶34 of FACC.) To that end, the Cross-Complaint alleges Cross-Defendant "fabricated grounds for impairment or default." (¶34 of FACC.) The purpose was to "enable internal repricing of loan assets and mask the former chief credit officer's prior mismanagement…" (¶37 of FACC.) The Cross-Complaint alleges the tactics "reflect a coordinated scheme to impair loan performance on paper, thereby engineering a financial narrative favorable to insiders and prospective purchasers and hostile to the Borrowers and borrowers of the Extending Loans." (¶41 of FACC.) Finally, this portion of the Cross-Complaint repeats the allegation that Cross-Defendant refused to deposit payments from Complainant. (¶43 of FACC.) In addition to being vague, the above allegations neither identify conduct likely to deceive the public, conduct substantially injurious to consumers, or conduct tethered to any underlying constitutional, statutory or regulatory provision. Instead, the allegations appear to allege an internal scheme to hide mismanagement. "A plaintiff alleging unfair business practices under these statutes must state with reasonable particularity the facts supporting the statutory elements of the violation." (Khoury v. Maly's of California, Inc. (1993) 14 Cal. App. 4th 612, 619.) Additionally, while "fraudulent" for purposes of the UCL is distinct from common-law fraud, both the Cross-Complaint and the opposition suggest Complainant is relying on its previously stated claims, to support a violation of the UCL. (See Opposition: 9:13-16.) "Where a UCL claim is derivative of another claim that fails as a matter of law, the UCL claim must similarly fail." (Nein v. HostPro, Inc. (2009) 174 Cal.App.4th 833, 841.) Further, for the same reasons stated above in connection with the claim for Fraud, Cross-Complainant has not alleged fraudulent conduct with particularity. Based on all the above, the demurrer is SUSTAINED; however, as this is the first pleading challenge to be considered by the Court and as Cross-Complainant has represented an ability to amend, leave to amend is granted. Cross-Complainant has 20 days leave to amend. Moving party to give notice

51	**Sheehan vs. Sheehan** **26-01546405**	**Demurrer to Complaint** Defendant Carol Sheehan's Demurrer to Complaint is SUSTAINED IN PART with 20 days leave to amend. **<u>Request for Judicial Notice</u>** Defendant requests judicial notice of various exhibits. The Request for Judicial Notice is DENIED as to the deposition transcript (Ex. 4). The Request for Judicial Notice is GRANTED as to Exs. 1, 6-10, & 12. "[S]uch notice is limited to the existence of the documents and is not the same as taking notice of the truth of any matters or facts stated therein." (*In re Christian P*. (2012) 208 Cal.App.4th 437, 445, fn. 4, abrogated on other grounds in *In re R.T.* (2017) 3 Cal.5th 622, 628, 637, fn. 6.) A court may take judicial notice of the existence of each document in a court file, but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments (*Day v. Sharp* (1975) 50 Cal.App.3d 904, 914.) A court cannot take judicial notice of hearsay allegations as being true simply because they are part of a court record or file. (Ibid.) "The hearing on demurrer may not be turned into a contested evidentiary hearing through the guise of having the court take judicial notice of documents whose truthfulness or proper interpretation are disputable." (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113.) **<u>A Demurrer is a Non-Speaking Motion</u>** In addition to the request for judicial notice, the demurrer is also accompanied by the Declaration of Cody M. Leventhal and exhibits attached thereto. But demurrers are "non-speaking" motions and no other extrinsic evidence can be considered, except for the pleadings at issue and such matters subject to judicial notice. (See, *Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881.) The function of a demurrer is therefore limited to testing the sufficiency of a complaint. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) "In reviewing the ruling on a demurrer, a court cannot consider…the substance of declarations, matter not subject to judicial notice, or documents judicially noticed but not accepted for the truth of their contents." (Ibid.)

Accordingly, the Declaration of Leventhal (except for the meet and confer portion) and exhibits not subject to judicial notice are disregarded.

Whether the Entire Action is Barred by Res Judicata/Claim Preclusion

Defendant contends that all causes of action contained in the Complaint are barred by res judicata or claim preclusion.

"[I]f all of the facts necessary to establish that an action is barred on res judicata grounds appear on the face of the complaint, the complaint is subject to demurrer." (*Brosterhous v. State Bar* (1995) 12 Cal.4th 315, 324.) A demurrer can only be used to challenge defects that appear on the face of the pleading or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881.)

The doctrine of res judicata has two aspects: claim preclusion and collateral estoppel. (*People v. Barragan* (2004) 32 Cal.4th 236, 252.) Claim preclusion describes the primary aspect of the res judicata doctrine and issue preclusion encompasses the notion of collateral estoppel. (*DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 824.) "*Claim preclusion* 'prevents relitigation of the same cause of action in a second suit between the same parties or parties in privity with them.' [Citation.] Claim preclusion arises if a second suit involves: (1) the same cause of action (2) between the same parties (3) after a final judgment on the merits in the first suit. [Citations.]" (*Ibid.*) "If claim preclusion is established, it operates to bar relitigation of the claim altogether." (*Ibid.*)

Plaintiff's causes of action in her instant Complaint are (1) Defamation, (2) Intentional Interference with Prospective Economic Advantage, (3) Intentional Interference with Contractual Relations, (4) Negligent Misrepresentation, (5) Intentional Infliction of Emotional Distress, (6) Unfair Competition, and the remedies asserted as causes of action for (7) Injunctive Relief, and (8) Punitive Damages. These causes of action all arise from the same alleged harm, Plaintiff's alleged economic damages, reputational harm and emotional distress stemming from Defendant's statements and fraud reports to U.S. Bank.

The Complaint alleges Defendant contacted U.S. Bank on, interalia, May 5, May 10, May 15, June 14, June25, October 14, October 16, October 28, November 12, November 14 of 2024. Defendant initiated these communications repeatedly and persistently over several months. During these communications. Defendant made numerous false statements of fact to U.S. Bank employees accusing Plaintiff of serious financial crimes and misconduct, including but not limited to fraud, embezzlement, wire fraud, forgery, and theft of hundreds of thousands

		of dollars. Defendant falsely claimed that checks written to vendors were fraudulent, accused Plaintiff of paying "friends" improperly, disputed legitimate business expenses, and asserted that Plaintiff was secretly draining business accounts. Defendant further falsely asserted that Plaintiff continued to engage in fraudulent billing activity months after Plaintiff had been locked out of business operations and had no access to the accounts in question. (See, Complaint, p. 3.) U.S. Bank froze all of Plaintiff's accounts and eventually terminated its banking relationship with Plaintiff entirely. Plaintiff was denied access to her funds for approximately two to three weeks and during that time, Plaintiff lost a long-standing and significant business client, Gullwing Motorcars, and suffered substantial interruption to her business operations. The loss of Gullwing Motorcars as a client materially impaired Plaintiff's ability to operate and grow her business during its formative stage. Plaintiff suffered reputational harm with financial institutions as a result of Defendant's acts. (See, Complaint, pp. 4-5.) Plaintiff's Verified FAC in the *Colleen Sheehan v. Michael Sheehan* matter consists of eighteen (18) causes of action against Michael Sheehan (Plaintiff's father), Prancing Skunk Automotive and Ferraris Online. (RJN, Ex. 1.) The FAC contains multiple employment related causes of action and multiple causes of action against Michael relating to converting Plaintiff's personal property and breaching a contract with regard to rental real properties. As relevant here, the FAC also contains causes of action against Michael for defamation (the 15th cause of action), intentional interference with prospective economic advantage (16th cause of action), negligent interference with prospective economic advantage (17th cause of action); intentional interference with contractual relations (18th cause of action). The FAC alleges Plaintiff had existing economic relationships likely to result in economic benefit to her. Namely, her relationships with clients and/or automobile dealers at Gullwing Motorcars, Dugan Enterprises, Silver Arrow, CJ Motorsports, and Trading Horses. Defendant Michael knew of Plaintiff's economic relationships. Michael engaged in wrongful conduct, specifically, Michael has advised these third parties that Colleen had locked him out of his own computer databases, was attempting to take over his business and "push" him out, and that Colleen stole $130,000.00 from him. Michael advised these third parties to not trust Colleen and to not do business with her. Michael intended to disrupt the relationships or knew that disruption of the relationships was certain or substantially certain to occur. Plaintiff was harmed by Michael's conduct. Judgment was entered in the Original Matter on 12/3/25. (RJN, Ex. 9). The Court granted Defendant's motion for nonsuit as to Plaintiff's cause of action for defamation (15th cause of action) and the claim was

		dismissed with prejudice. (Id. at p. 3.) As for Plaintiff's claims for intentional interference with prospective economic advantage (16^{th} cause of action), negligent interference with prospective economic advantage (17^{th} cause of action); and intentional interference with contractual relations (18^{th} cause of action), the jury found for Plaintiff and against Defendant Michael. (Id. at p. 3.) The jury awarded Plaintiff Lost Profits of $14,500, emotional distress damages of $20,000 and while the jury found that Michael acted with malice, fraud, or oppression towards Colleen, it awarded $0 for punitive damages. (Id. at p. 6.) Here, the first three causes of action are identical to three causes of action brought by Plaintiff in the Original Matter. Punitive damages are also sought in both actions. The Original Matter resulted in a final judgment on the merits. Defendant contends the remaining causes of action for Negligent Misrepresentation, Intentional Infliction of Emotional Distress, Unfair Competition, Injunctive Relief were not brought in the Original Matter but should have been brought and are also precluded. However, the facts giving rise to these two actions are not the same. As previously stated, in the Original Matter, Plaintiff alleges that Michael advised these third parties that Colleen had locked him out of his own computer databases, was attempting to take over his business and "push" him out, and that Colleen stole $130,000.00 from him. Michael advised these third parties to not trust Colleen and to not do business with her. In this action, Plaintiff alleges that Defendant made multiple statements to U.S. Bank employees accusing Plaintiff of serious financial crimes and misconduct, including but not limited to fraud, embezzlement, wire fraud, forgery, and theft of hundreds of thousands of dollars. Defendant falsely claimed that checks written to vendors were fraudulent, accused Plaintiff of paying "friends" improperly, disputed legitimate business expenses, and asserted that Plaintiff was secretly draining business accounts. Defendant further falsely asserted that Plaintiff continued to engage in fraudulent billing activity months after Plaintiff had been locked out of business operations and had no access to the accounts in question. U.S. Bank froze all of Plaintiff's accounts and eventually terminated its banking relationship with Plaintiff entirely. Plaintiff was denied access to her funds for approximately two to three weeks which resulted in the loss of a long-standing and significant business client, Gullwing Motorcars, and suffered substantial interruption to her business operations. The loss of Gullwing Motorcars as a client materially impaired Plaintiff's ability to operate and grow her business during its formative stage. Plaintiff suffered reputational harm with financial institutions as a result of Defendant's acts. Moreover, the requested relief sought in this case is also different as Plaintiff seeks an injunction to prevent recurrence of Carol's conduct.

Based upon the foregoing, res judicata does not bar the instant claims in this action because they do not involve the same set of facts that was litigated in the prior proceeding.

Furthermore, Plaintiff brought claims against her father, Michael, in the Original Matter and the causes of action in this action are against Carol, Plaintiff's mother-in-law and wife of Michael. Defendant asserts these claims are barred because the husband-wife relationship establishes privity for purposes of claim preclusion.

Privity refers to a mutual or successive relationship to the same rights of property, or to such an identification in interest of one person with another as to represent the same legal rights, as well as to a relationship between the party to be estopped and the unsuccessful party in the prior litigation which is sufficiently close so as to justify application of the doctrine of res judicata (*Villarroel v. Recology, Inc*. (2023) 97 Cal.App.5th 762, 782.) Whether someone is in privity with the actual parties requires close examination of the circumstances of each case, and the circumstances must also have been such that the nonparty should reasonably have expected to be bound by the prior adjudication (Ibid.)

Privity between spouses is not automatic simply by virtue of the marital relationship. Spouses are in privity with each other where the cause of action in the prior litigation was community in nature and the proceeds of any judgment that might have been recovered would have belonged to both husband and wife as community property (*Mueller v. J. C. Penney Co*. (1985) 173 Cal.App.3d 713, 724, citing *Zaragosa v. Craven* ("Zaragosa") (1949) 33 Cal.2d 315, 321.) Defendant asserts (1) Plaintiff sought vicarious liability against Michael Sheehan based on a theory that Carol Sheehan was acting as Michael Sheehan's agent, and Michael Sheehan represented the "community" of himself and Carol Sheehan, and (2) because the cost of the judgement against Michael Sheehan in the Original Matter was borne by both husband and wife as community property. But neither the allegations of the Complaint nor the documents subject to judicial notice support these arguments.

Defendant also argues the primary right theory. As discussed, claim preclusion applies only to the relitigation of the same cause of action between the same parties or those in privity with them. Whether the two lawsuits involve the same primary right is beside the point. Claim preclusion does not bar Plaintiff from suing Carol because it cannot be determined via demurrer that Carol is "the same party" or in privity with Michael. (See, *DKN Holdings LLC v. Faerber,* supra, 61 Cal.4th at 825.)

Based upon the foregoing, the Demurrer is OVERRULED on this ground.

<u>Whether the Entire Action is Barred by Collateral Estoppel/Issue Preclusion</u>

Issue preclusion prohibits the relitigation of issues argued and decided in a previous case, even if the second suit raises different causes of action. (*DKN Holdings LLC v. Faerber,* supra, 61 Cal.4th at 824.) Under issue preclusion, the prior judgment conclusively resolves an issue actually litigated and determined in the first action. (Ibid.) There is a limit to the reach of issue preclusion, however. In accordance with due process, it can be asserted only against a party to the first lawsuit, or one in privity with a party. (Ibid.)

Issue preclusion differs from claim preclusion in two ways. (*DKN Holdings LLC v. Faerber,* supra, 61 Cal.4th at 824.) First, issue preclusion does not bar entire causes of action. Instead, it prevents relitigation of previously decided issues. Second, unlike claim preclusion, issue preclusion can be raised by one who was not a party or privy in the first suit. (Id. at 824-825.) Only the party against whom the doctrine is invoked must be bound by the prior proceeding. (Ibid.) In summary, issue preclusion applies: (1) after final adjudication (2) of an identical issue (3) actually litigated and necessarily decided in the first suit and (4) asserted against one who was a party in the first suit or one in privity with that party. (Ibid.)

The demurrer as to issue preclusion fails for the same reasons stated above. “The ‘identical issue’ requirement addresses whether identical factual allegations are at stake in the two proceedings, not whether the ultimate issues or dispositions are the same.” (*Lucido v. Superior* Court (1990) 51 Cal.3d 335, 342.) The issues previously litigated and necessarily decided in the first suit are not identical to the issues in this lawsuit, as they do not involve the same factual allegations. Furthermore, privity has not been shown at this time.

Accordingly, the demurrer on this ground is OVERRULED.

<u>1st Cause of Action for Defamation</u>

Defamation claims are subject to a one-year statute of limitations. (Code Civ. Proc. § 340 (c).) Generally, the limitations period runs from the date of publication of the purportedly defamatory statement(s). (*Shively v. Bozanich* (2003) 31 Cal.4th 1230, 1247.)

In certain circumstances it may be appropriate to apply the discovery rule to delay the accrual of a cause of action for defamation or to impose an equitable estoppel against defendants who assert the defense after the limitations period has expired. (Id. at 1248-1249.) That rule has been applied when the defamatory statement is hidden from view as, for example, in a personnel file that generally cannot be inspected by the plaintiff. The rationales offered in support of the application of the discovery rule to defamation cases are equitable in nature. The cases

		turn upon the circumstances in which the defamatory statement is made and frequently involve a defamatory writing that has been kept in a place to which the plaintiff has no access or cause to seek access. The plaintiff's inability to discover the libel when it first was "published" and placed in a confidential file would render unjust any holding that the cause of action accrued and the period of limitations commenced when the writing was placed in the file. (Id. at 1249.) "California law recognizes a general, rebuttable presumption, that plaintiffs have 'knowledge of the wrongful cause of an injury.' " (*Grisham v. Philip Morris U.S.A., Inc.* (2007) 40 Cal.4th 623, 638 (Grisham).) The delayed discovery rule rebuts that presumption and tolls the statute of limitations. (Ibid.; See also *Fox v. Ethicon Endo-Surgery, Inc*. (2005) 35 Cal.4th 797, 803.) "In order to rely on the discovery rule for delayed accrual of a cause of action, '[a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.'" (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808.) Plaintiff alleges the defamatory statements were published by Defendant between 05/05/24, and 11/14/24. The Complaint in this action was filed on 2/10/26, which is more than one year after the alleged publication. Defendant is correct that this cause of action appears barred from the face of the Complaint as it was filed more than one year after the alleged publication and the Complaint fails to state any facts to support delay discovery. Accordingly, the demurrer to the first cause of action for defamation is SUSTAINED. **<u>4th Cause of Action for Negligent Misrepresentation</u>** The elements of negligent misrepresentation are well-established. The elements of a claim for negligent misrepresentation are "(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage. (*Apollo Capital Fund LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 243.) The representations must be made to plaintiff or relied upon by her. (*Security Officers Service, Inc. v. State Compensation Ins. Fund* (1993) 17 Cal.App.4th 887, 899.)

		Here, the Complaint alleges that Defendant made misrepresentations to third party, U.S. Bank, not Plaintiff, with the intent to trigger bank action. Accordingly, the demurrer as to this cause of action is SUSTAINED. Plaintiff has 20 days from notice of this ruling to file an amended complaint. Moving party to give notice.
53	**Rebuyon vs. Serra Sol Memory Care** **26-01561508**	**Motion to Compel Arbitration** Defendant SJC-Operations, LP dba Serra Sol's (Erroneously sued as Serra Sol Memory Care) ("Defendant") unopposed Motion to Compel Arbitration is GRANTED. Preliminarily, both the Federal Arbitration Act ("FAA") and the California Arbitration Act require the existence of a valid Arbitration Agreement, before arbitration can be compelled. (See 9 U.S.C. §2 and Code of Civ. Proc. §1281.2). "If a party to a civil action asks the court to compel arbitration of the pending claim, the court must determine in a summary proceeding whether an 'agreement to arbitrate the controversy exist.'" (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 754.) "Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement…that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense." (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413.) The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. (Little v. Pullman (2013) 219 Cal.App.4th 558, 565.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (Id.) In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination. (Id.)

		As this motion is unopposed, it is undisputed that the FAA applies here. Further, it is undisputed that Plaintiff, through her daughter, Arlene Rebuyon, acting as Plaintiff's attorney-in-fact, agreed to arbitrate various claims arising out of her stay with Defendant, including "all disputes arising from or related to this Agreement or to your rights, obligations, care, or services at the Community shall be resolved by submission to neutral, binding arbitration...and it includes, without limitation, personal injury and wrongful death claims." (Philson Decl. at ¶¶ 5, 6, Ex. A, p. 25; Ex. B, power of attorney.) It is further undisputed that Plaintiff's claims against Defendant falls within the Arbitration Agreement. In fact, Defendant represents that the parties have agreed to arbitration before Robert N. Dobbins, Esq. with Judicate West and have paid the required arbitration fees. (See, Ntc. Of Non-Opp, pp. 2:4-5, ROA 36.) As Plaintiff does not oppose the instant motion, Plaintiff does not raise any issues related to the defense to enforcement. In light of the above, Defendant's Motion to Compel Arbitration is GRANTED. This action is STAYED pending resolution of the arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. §§ 3 and 4.) The Court hereby sets a post-arbitration status conference for March 26, 2027 in this department. Moving Party to give notice.
54	**Esparza vs. Holland** **25-01510068**	**1. Demurrer to Complaint** **2. Motion to Strike Complaint** Defendants Derek Holland and Holland & Holland Law Offices, Inc.'s demurrer is OVERRULED as to the second cause of action for breach of fiduciary duty and SUSTAINED as to the third cause of action for breach of contract asserted in the Complaint. Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiff must file and serve it within 20 days of service of notice of ruling. In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-05.) <u>Second Cause of Action for Breach of Fiduciary Duty</u>

The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, breach of fiduciary duty, and damages. [Citation.]" (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 820–821.)

In or around late February 2023, Plaintiff retained Defendants to represent him and litigate his personal injury claims arising from an incident in which a heavy display case fell on Plaintiff when Plaintiff was a customer in a retail store ("Underlying Matter"). (Compl. ¶ 7.) By virtue of their attorney-client relationship, a fiduciary relationship existed between Plaintiff and Defendants. (*Id*. at ¶ 21.) The second cause of action for breach of fiduciary duty alleges Defendants breached their fiduciary duties to Plaintiff by failing to competently handle the Underlying Matter; violating various Rules of Professional Conduct; failing to represent Plaintiff loyally; failing to keep Plaintiff fully informed about all aspects of the Underlying Matter; failing to properly communicate with Plaintiff; failing to dedicate a reasonable amount of time and attention to the Underlying Matter; and failing to protect Plaintiff's rights in the Underlying Matter. (*Id*. at ¶ 22.) Plaintiff incurred damages and losses as a result of Defendants' breach. (*Id*. at ¶ 23.)

These allegations are sufficient to state a cause of action distinct for legal malpractice based on Defendants' breach of their duty to adhere to the Rules of Professional Conduct, their duty of loyalty, and their duty to keep Plaintiff reasonably informed about significant developments in the Underlying Matter. (See *Stanley v. Richmond* (1995) 35 Cal.App.4th 1070, 1086 [Rules of Professional Conduct define the fiduciary duty an attorney owes their client]; *De Meo v. Cooley LLP* (2025) 115 Cal.App.5th 17, 29 ["attorney has a duty of loyalty to his or her clients"]; Bus. & Prof. Code, § 6068, subd. (m) [an attorney has a duty " 'to keep clients reasonably informed of significant developments in matters with regard to which the attorney has agreed to provide legal services' "]; *Chambers v. Kay* (2002) 29 Cal.4th 142, 157 [the Rules of Professional Responsibility are intended to regulate professional conduct of members of the State Bar].) The demurrer is overruled as to the second cause of action.

<u>Third Cause of Action for Breach of Contract</u>

"[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. [Citation.]" (*Oasis*, *supra*, 51 Cal.4th at p. 821.) "A written contract may be pleaded either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect. [Citation.] In order to plead a contract by its legal effect, plaintiff must 'allege the substance of its relevant terms.' [Citation.]" (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1489.)

The third cause of action for breach of contract alleges Plaintiff and Defendants entered into a written agreement in late February 2023. (Compl. ¶ 25.) In exchange for valuable consideration, Defendants agreed to perform legal services for Plaintiff in the Underlying Matter. (*Id*.) Implied in the agreement is Defendants' performance of the legal services with reasonable care and in a manner consistent with the standard practice ordinarily followed by other attorneys in good standing. (*Id*. at ¶ 26.) Plaintiff performed all of his obligations under the agreement, or performance was excused. (*Id*. at ¶ 27.) The Complaint alleges Defendants failed to perform under the agreement by failing to exercise the requisite skill and care of reasonable attorneys while representing Plaintiff. (*Id*. at ¶ 28.) As a result of Defendants' breach of the representation agreement, Plaintiff incurred damages and losses. (*Id*. at ¶ 29.)

The Complaint does not attach the representation agreement or quote the representation agreement verbatim. The allegation that "Defendants agreed to perform legal services for Plaintiff in the Underlying Matter" is not sufficient to allege the agreement's relevant substantive terms. The demurrer is SUSTAINED as to the third cause of action with leave to amend.

<u>Uncertainty</u>

Demurrers for uncertainty are generally disfavored (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822) because "under [California's] liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend." (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2.) The court will only sustain a demurrer for uncertainty if it is so poorly drafted that defendants cannot reasonably respond. (*Khoury v. Maly's of California Inc.* (1993) 14 Cal. App. 4th 612, 616.) A demurrer for uncertainty must identify by line and page number, the language that creates the uncertainty. (*Fenton v. Groveland Community Services Dist.* (1982) 135 Cal. App. 3d 797, 809.)

Here, Complaint is not "so incomprehensible that a defendant cannot reasonably respond." (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal. App. 4th 1125, 1135.) Any "ambiguities can be clarified under modern discovery procedures." (*Khoury*, *supra*, 14 Cal. App. 4th at p. 616.) The demurrer based on uncertainty is OVERRULED.

<u>Sanctions</u>

		Plaintiff requests an award of attorney's fees incurred in opposing the demurrer pursuant to Code of Civil Procedure section 128.5. Plaintiff's request is DENIED. As an initial matter, a motion for sanctions under section 128.5 "shall be made separate from other motions or requests …." (Code Civ. Proc., § 128.5, subd. (f)(1)(A).) Additionally, a 21-day safe harbor provision applies. (*Id*. at subd. (f)(1)(B).) Defendants to give notice. ____ Defendants Derek Holland and Holland & Holland Law Offices, Inc. move to strike allegations and prayers for general damages from the Complaint. The motion to strike is DENIED as to identified items 1-20 (Notice of Motion at 2:4-5 [ROA 22].). The motion is GRANTED as to item 21, the prayer for general damages in connection with the first cause of action for professional negligence/legal malpractice. Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiff must file and serve it within 20 days of service of notice of ruling. A court may strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule or an order of the court. (Code Civ. Proc., § 436.) <u>Descriptive Language</u> Defendants seek to strike the allegations identified in items 1-20 on the grounds that they are irrelevant and conclusory. Items 1-20 consist of terms such as "competently", "properly," and "diligently", "negligence", "breached" and "loyally". (Notice of Motion at 2:4-3:1.) The directive to construe pleadings liberally and the courts' reluctance to use motions to strike a "a procedural 'line item veto' for the civil defendant" weighs in favor of a denial with regard to items 1-20. (*See PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683 [motion to strike may challenge portions of causes of action or where a complaint fails to state particular facts, and its use "should be cautious and sparing" so as not to create a "procedural 'line item veto' for the civil defendant"].) The motion to strike is denied as to items 1-20. Defendants have not demonstrated such allegations are irrelevant, false, or improper. Rather, the descriptive language is supported by factual allegations and is not clearly irrelevant or unduly prejudicial. <u>General Damages</u>

		Plaintiff seeks "general and special compensatory and consequential damages in an amount to be proven at trial." (Compl., Prayer for Relief at 7:12-19.) Defendants contend Plaintiff's prayer for general damages is not drawn in conformity with California law because the measure of damages in this legal malpractice action is the "difference between what was recovered and what would have been recovered but for the attorney's wrongful act or omission." (*Mosier v. S. California Physicians Ins. Exch*. (1998) 63 Cal.App.4th 1022, 1049–1050.) California courts have considered the issue of damages for emotional distress due to attorney malpractice and established the rule that "emotional distress damages are not generally recoverable in cases of attorney malpractice related to litigation. [Citation.]" (*Camenisch v. Superior Court* (1996) 44 Cal.App.4th 1689, 1697.) "In lawyer malpractice cases alleging negligence in an earlier civil case involving a property interest, recovery of damages for emotional distress is precluded absent intentional or affirmative wrongdoing by the defendant." (*Holliday v. Jones* (1989) 215 Cal.App.3d 102, 114.) Here, the Complaint does not allege any intentional malfeasance on the part of the Defendants. The motion to strike "general" from the prayer for relief for the first cause of action for professional negligence/legal malpractice (Compl., Prayer for Relief at 7:12-13) is GRANTED. The Complaint states facts sufficient to constitute a cause of action for breach of fiduciary duty. "Recovery for damages based upon breach of fiduciary duty is controlled by Civil Code section 3333, the traditional tort recovery." (*Michelson v. Hamada* (1994) 29 Cal.App.4th 1566, 1582.) Civil Code section 3333 provides: "For the breach of an obligation not arising from contract, the measure of damages, except where otherwise expressly provided by this Code, is the amount which will compensate for all the detriment proximately caused thereby, whether it could have been anticipated or not." The damages recoverable under section 3333 for breach of fiduciary duty include emotional distress damages. (*Stanley*, supra, 35 Cal.App.4th at p. 1097 [emotional distress damages are recoverable if directly caused by the attorney's conduct in breach of fiduciary duties].) The motion to strike "For general" from the prayer for relief for the second cause of action for breach of fiduciary duty is DENIED. Since the Court sustained the demurrer as to the third cause of action for breach of contract, the motion to strike this cause of action is DENIED. Defendants to give notice.

56	**Karimi vs. Benson** **24-01438642**	**1. Demurrer to Amended Cross-Complaint** **2. Demurrer to Amended Cross-Complaint** **3. Demurrer to Amended Cross-Complaint** **4. Joinder** **5. Joinder** **6. Motion to Strike Portions Of Cross-Complaint** Cross-Defendants Ebrahim Karimi and Maryam Karimi's demurrer to the First Amended Cross-Complaint is SUSTAINED with leave to amend. Cross-Defendants Ebrahim Karimi and Maryam Karimi's request for judicial notice of Exhibits A through G is GRANTED. (Evid. Code, § 452, subd. (d).) Cross-Defendants Coldwell Banker Realty and Frank Del Rio's demurrer to the First Amended Cross-Complaint is SUSTAINED with leave to amend. The joinder in the demurrer by Cross-Defendants Erik Messinger and Golden Ticket Real Estate, Inc., dba Keller Williams Realty, is GRANTED. Cross-Defendants Coldwell Banker Realty and Frank Del Rio's motion to strike, and the joinder by Cross-Defendants Ebrahim Karimi and Maryam Karimi, are DEEMED MOOT. Cross-Defendants Coldwell Banker Realty and Frank Del Rio's request for judicial notice of Exhibits A through G is GRANTED. (Evid. Code, § 452, subd. (d).) Cross-Defendants West Coast Escrow Company, Eva Ayala and Paula D. Vinnedge's demurrer to the First Amended Cross-Complaint is SUSTAINED with leave to amend. Cross-Defendants West Coast Escrow Company, Eva Ayala, and Paula D. Vinnedge's request for judicial notice of Exhibits 1 through 6 is GRANTED. (Evid. Code, § 452, subd. (d).) ***Because the demurrers raise substantially overlapping issues, the Court addresses the common grounds together.*** Cross-Defendants Ebrahim Karimi and Maryam Karimi (collectively, the "Karimis") demur to the First Amended Cross-Complaint ("FAXC") on the grounds that: (1) the claims are barred by res judicata and collateral estoppel based on the prior 2022 action; (2) the same claims are being pursued in a pending federal action; (3) the Court lacks subject matter jurisdiction over certain federal claims; and (4) each cause of action fails to state sufficient facts against the Karimis and is otherwise uncertain or inadequately pleaded.

Cross-Defendants Coldwell Banker Realty and Frank Del Rio (collectively, the "Coldwell Defendants") demur to the FAXC on substantially the same grounds, arguing that: (1) the claims are barred by res judicata and collateral estoppel based on the prior 2022 action; (2) the same claims are being pursued in a pending federal action; (3) the Court lacks subject matter jurisdiction over certain federal claims; and (4) the challenged causes of action fail to state sufficient facts against them and are otherwise uncertain or inadequately pleaded. Cross-Defendants Erik Messinger and Golden Ticket Real Estate, Inc., dba Keller Williams Realty (collectively, the "Keller Williams Defendants"), join in the demurrer.

Cross-Defendants West Coast Escrow Company, Eva Ayala, and Paula D. Vinnedge (collectively, the "Escrow Defendants") likewise demur to the FAXC on the grounds that: (1) the claims are barred by res judicata and collateral estoppel based on the prior 2022 action; (2) the same claims are being pursued in a pending federal action; (3) the Court lacks subject matter jurisdiction over certain federal claims; and (4) each cause of action fails to state sufficient facts against them and is otherwise uncertain or inadequately pleaded.

A. *Res Judicata/Collateral Estoppel*

"The doctrine of res judicata or claim preclusion dictates that in ordinary circumstances a final judgment on the merits prevents relitigation of the same cause of action in a second suit between the same parties or parties in privity with them." (*Wassmann v. South Orange County Community College Dist*. (2018) 24 Cal.App.5th 825, 844 ("*Wassmann*").) "Causes of action are considered the same if based on the same primary right." (*Citizens for Open Government v. City of Lodi* (2012) 205 Cal.App.4th 296, 325; see *Boeken v. Philip Morris USA, Inc.* (2010) 48 Cal.4th 793, 798 ["under the primary rights theory, the determinative factor is the harm suffered"].) Claim preclusion "encompasses ' "matters which were raised or could have been raised, on matters litigated or litigable" ' in the prior action." (*Wassmann, supra*, 24 Cal.App.5th at p. 844.) A plaintiff may not avoid claim preclusion by asserting a different legal theory or seeking different relief for the same primary right. (*Mycogen Corp. v. Monsanto Co*. (2002) 28 Cal.4th 888, 897.) As discussed below, however, a judgment following the sustaining of a general demurrer has a narrower preclusive effect.

Res judicata and collateral estoppel require three common elements: " '(1) A claim or issue raised in the present action is identical to a claim or issue litigated in a prior proceeding; (2) the prior proceeding resulted in a final judgment on the merits; and (3) the party against whom the doctrine is being asserted was a party or in privity with a party to the prior proceeding. [Citations.]' [Citation.]" (*People v. Barragan* (2004) 32 Cal.4th 236, 253.) Collateral estoppel additionally requires that the issue to be precluded was actually litigated and necessarily decided. (*Lucido v. Superior Court* (1990) 51 Cal.3d 335, 341.)

Claim preclusion may be raised on demurrer when the relevant facts appear from the pleading or matters subject to judicial notice. (*Carroll v. Puritan Leasing Co.* (1978) 77 Cal.App.3d 481, 485.) Where, however, the prior judgment followed the sustaining of a general demurrer, the judgment does not have the same broad preclusive effect as a judgment following a trial on the merits. (See *Keidatz v. Albany* (1952) 39 Cal.2d 826, 828–830.) A judgment entered after the sustaining of a general demurrer is "on the merits" only to the extent it determines that the facts alleged fail to state a cause of action and therefore bars a subsequent action alleging the same facts. (*Id.* at p. 828.) Even where different facts are alleged, the prior judgment is also a bar if the ground upon which the prior demurrer was sustained remains equally applicable to the second action. (*Ibid.*) Conversely, if the subsequent pleading alleges new or additional facts curing the former defect, the prior judgment is not a bar, even if the plaintiff previously had an opportunity to amend. (*Ibid.*) A judgment based merely upon technical or formal pleading defects is not an adjudication on the merits. (*Goddard v. Security Title Ins. & Guar. Co.* (1939) 14 Cal.2d 47, 52.)

The judicially noticed records demonstrate that Cross-Complainant David Benson ("Benson") previously sued the Cross-Defendants in Orange County Superior Court in 2022 concerning the same property and the same allegedly unauthorized transfer at issue in the FAXC. (Karimis' RJN, Ex. A [Complaint, ¶¶ 7–11]; Escrow Defendants' RJN, Ex. 1 [Complaint, ¶¶ 7–11].) In that action, Benson alleged that he made a handwritten notation on the Grant Deed limiting or delaying the sale, that he later elected not to proceed, and that the sale nevertheless closed. (*Id.*, ¶¶ 15–18.) He further alleged that Vinnedge altered the Grant Deed by removing the notation and attachment and that Ayala improperly added the notary statement after the alleged signing. (*Id.*, ¶¶ 18–19.) Benson sought an order restoring legal title and possession of the property to him and declaring that the Cross-Defendants had no right, title, or interest in the property. (*Id.*, ¶¶ 23–25.)

The FAXC is based on substantially the same alleged injury. Benson again alleges that he signed the Grant Deed subject to written limitations, that Vinnedge removed the reference to "Attachment (A)," altered the deed, and improperly used Ayala's notary information, resulting in the allegedly unauthorized transfer of the property. (FAXC, ¶¶ 23–29.) Although Benson now asserts additional causes of action, including fraud, racketeering, identity theft, title theft, conversion, cancellation of instruments, and unfair business practices, those claims largely arise from the same alleged injury: the transfer and loss of the subject property through the allegedly forged or altered Grant Deed. (FAXC, ¶¶ 44–70, 87–91, 112–135.)

		The same-party requirement is also satisfied. Benson and each of the present Cross-Defendants were named as parties in the 2022 action. The judicially noticed records reflect different procedural dispositions as to the various Cross-Defendants. The Court sustained with 21 days' leave to amend the demurrers of West Coast Escrow Company, Eva Ayala, and Paula D. Vinnedge, and of Erik Messinger and Golden Ticket Real Estate, Inc., dba Keller Williams Realty. (Escrow Defendants' RJN, Ex. 3.) The Court determined that Benson failed to state a quiet title claim against those defendants because he did not allege that they asserted an adverse claim to title to the subject property. (Ibid.) Benson did not amend within the time permitted. On April 4, 2023, the Court granted their applications to dismiss pursuant to Code of Civil Procedure section 581, subdivision (f)(2). (Escrow Defendants' RJN, Ex. 4.) Judgment of dismissal was thereafter entered in favor of West Coast Escrow Company, Ayala, Vinnedge, Messinger, and Golden Ticket Real Estate, Inc., dba Keller Williams Realty, and against Benson. (Escrow Defendants' RJN, Ex. 5.) The Court also sustained the demurrer of the Coldwell Defendants with 21 days' leave to amend. (Coldwell Defendants' RJN, Ex. B.) As with the Escrow and Keller Williams Defendants, the Court determined that Benson failed to state a quiet title claim because he did not allege that the Coldwell Defendants asserted an adverse claim to title to the property. (Ibid.) Benson did not amend within the time permitted. The Court thereafter granted the Coldwell Defendants' application to dismiss pursuant to Code of Civil Procedure section 581, subdivision (f)(2). (Coldwell Defendants' RJN, Ex. C.) Judgment of dismissal was thereafter entered in favor of Frank Del Rio and Coldwell Banker Residential Brokerage Company dba Coldwell Banker Realty and against Benson. (Coldwell Defendants' RJN, Ex. D.) The Court also sustained the Karimis' demurrer with 21 days' leave to amend. (Karimis' RJN, Ex. B.) The Court determined from the deeds attached to Benson's complaint that Benson did not hold title to the property in his individual capacity, but rather held title as trustee of the David Benson Revocable Living Trust, and therefore concluded that Benson had not established his individual standing to maintain the quiet title claim. (Karimis' RJN, Ex. B.) Benson failed to amend within the time allowed. The Court thereafter dismissed the complaint against the Karimis with prejudice on June 23, 2023. (Karimis' RJN, Ex. C.) Thereafter, judgment of dismissal was entered in their favor. (Karimis' RJN, Ex. D.) The FAXC does not allege new facts curing the defects previously noted. The FAXC again relies on substantially the same operative facts concerning the alleged alteration and improper notarization of the Grant

Deed and the resulting unauthorized transfer of the subject property. It also again alleges that Benson personally was the “lawful owner” of the subject property and seeks relief on his own behalf. (FAXC, ¶ 9.) At the same time, the Grant Deed that Benson identifies as the allegedly forged instrument reflects that the grantor was “David Benson, Trustee of David Benson Revocable Living Trust.” (FAXC, ¶ 27 & Ex. E.) Accordingly, the defects identified in the prior action remain applicable to the present pleading as to the property-related claims. Therefore, to the extent the property-related causes of action identified below repeat substantially the same operative facts without new or additional allegations curing the prior pleading defects, the prior judgments are preclusive.

Benson argues in opposition that claim preclusion does not apply because the Grant Deed was allegedly forged and is therefore void, rendering the transfer to the Karimis null and subject to collateral attack. (Opp., pp. 7–9.) The FAXC likewise alleges that the Grant Deed is “void ab initio” and seeks a judicial determination cancelling the instrument. (FAXC, ¶¶ 113–115.) That argument does not establish that the prior judgments themselves were void. The alleged invalidity of the Grant Deed is distinct from the validity of the prior judgments, and the judicially noticed record shows that Benson already alleged alteration and improper notarization in the prior action. (Karimis’ RJN, Ex. A [Complaint, ¶¶ 18–19]; Escrow Defendants’ RJN, Ex. 1 [Complaint, ¶¶ 18–19].)

Thus, the prior judgments are preclusive as to the causes of action that seek relief for Benson’s alleged loss of the property through the 2022 Grant Deed. Specifically, the first cause of action for declaratory relief, second cause of action for fraud, third cause of action for racketeering, fourth cause of action for identity theft, fifth cause of action for title theft, eighth cause of action for conversion, eleventh cause of action for “inter-commerce fraud,” and twelfth cause of action for cancellation of instruments are based on the allegedly forged or altered Grant Deed and the resulting transfer or loss of Benson’s claimed property rights. These causes of action arise from substantially the same facts alleged in the 2022 action and, as to the Karimis, additionally remain subject to the same uncured standing/real-party-in-interest defect identified in their prior demurrer.

Accordingly, the demurrers are SUSTAINED as to the first, second, third, fourth, fifth, eighth, eleventh, and twelfth causes of action on claim-preclusion grounds. Because claim preclusion is dispositive as to these causes of action, the Court need not separately address collateral estoppel.

B. *Another Action Pending*

Code of Civil Procedure section 430.10, subdivision (c) permits a demurrer where "[t]here is another action pending between the same parties on the same cause of action." However, the statute applies only when the other action is pending in a California state court. It does not apply where the competing action is pending in federal court. (*Gregg v. Superior Court* (1987) 194 Cal.App.3d 134, 136.) In such cases, however, California courts may refuse to entertain the later action on general principles of comity. But a stay on this ground is discretionary, not mandatory. (*Thomson v. Continental Ins. Co.* (1967) 66 Cal.2d 738, 746-747; *Caiafa Professional Law Corp. v. State Farm Fire & Cas. Co.* (1993) 15 Cal.App.4th 800, 804.) The appropriate procedure is a motion to stay or dismiss on forum non conveniens grounds. (Code Civ Proc., §§ 410.30, 418.10). (*Leadford v. Leadford* (1992) 6 Cal.App.4th 571, 575.)

Here, the judicially noticed records show that Benson filed an action in the United States District Court for the Central District of California on April 3, 2025, and filed a First Amended Complaint in that action on May 29, 2025. (Karimis' RJN, Exs. E, F.) Even assuming the two actions are substantially identical, the other action is pending in **federal** court. Accordingly, Code of Civil Procedure section 430.10(c) does not provide a basis for sustaining the demurrer.

The demurrers on this ground are OVERRULED.

C. *Subject Matter Jurisdiction*

Cross-Defendants contend that certain federal causes of action fall within the exclusive jurisdiction of the federal courts. However, state courts have concurrent jurisdiction over RICO claims. (*Cianci v. Superior Court* (1985) 40 Cal.3d 903, 908.) The FDCPA likewise permits an action to be brought in an appropriate federal district court "or in any other court of competent jurisdiction." (15 U.S.C. § 1692k(d).) Accordingly, those claims do not deprive this Court of subject matter jurisdiction.

Thus, the demurrers on this ground are OVERRULED.

D. *Failure to State Facts Sufficient*

First, Second, Third, Fifth, Eighth, and Twelfth Causes of Action:

The standing/real-party-in-interest defect provides an additional and independent basis for sustaining the demurrer to the first, second, third, fifth, eighth, and twelfth causes of action. Those claims seek relief for the alleged wrongful transfer, loss, conversion, or impairment of rights in the subject property. The Grant Deed attached to and incorporated into the FAXC as Exhibit E identifies the grantor as "David Benson, Trustee of David Benson Revocable Living Trust dated August 11, 2014," rather than Benson in his individual capacity. (FAXC, Ex. E.) Benson has not alleged facts establishing that he, individually, is the real party in interest entitled to recover for injury to the trust property.

Accordingly, the demurrers to the first, second, third, fifth, eighth, and twelfth causes of action are SUSTAINED with leave to amend.

Sixth and Seventh Causes of Action for FDCPA and Rosenthal Act

The Fair Debt Collection Practices Act ("FDCPA") applies to efforts by a "debt collector" to collect a consumer "debt." (15 U.S.C. § 1692a(5), (6).) A "debt collector" generally includes a person whose principal business is debt collection or who regularly collects or attempts to collect debts owed to another. (15 U.S.C. § 1692a(6).) The Rosenthal Act is broader and defines a "debt collector" as a person who, in the ordinary course of business, regularly engages in debt collection on behalf of that person or others. (Civ. Code, § 1788.2(c).)

The FAXC alleges that Cross-Defendants are debt collectors attempting to collect a consumer debt and that they failed to validate the debt and continued collection activity. (FAXC, ¶¶ 72–85.) These allegations, however, are conclusory. The FAXC does not allege facts showing that Cross-Defendants' principal business is debt collection or that they regularly engage in debt collection, that they attempted to collect a debt owed by Benson, or that they communicated with Benson for the purpose of collecting a debt. The allegations are therefore insufficient to state a claim under either statute.

Accordingly, the demurrers to the sixth and seventh causes of action are SUSTAINED with leave to amend.

Ninth Cause of Action for Penal Code § 496(c):

The California Supreme Court explained: "Section 496, subdivision (a) (section 496(a)) defines the criminal offense of what is commonly referred to as receiving stolen property. As amended in 1972 [citation], it provides in relevant part: 'Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained,' is subject to incarceration. [¶] Section 496[, subdivision] (c), similar to some provisions in other statutory schemes, articulates a right to special civil remedies when a violation of section 496(a) has occurred. Subdivision (c), as also amended in 1972, states that any person who has been injured by a violation of section 496(a) 'may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's

		fees.' " (*Siry Investment, L.P. v. Farkhondehpour* (2022) 13 Cal.5th 333, 346–347, fns. omitted.) The FAXC alleges that Benson made unspecified "payments to Cross-Defendants" that were "withheld, siphoned, and embezzled." (FAXC, ¶ 96.) It does not identify what payments were made, to whom they were made, or how they were made under false pretenses. Nor does it allege facts showing that Cross-Defendants received or possessed property obtained by theft, knew that the property was stolen or so obtained, or unlawfully withheld or concealed it. These conclusory allegations do not state a claim under section 496. The demurrers to the ninth cause of action are SUSTAINED with leave to amend. <u>Tenth Cause of Action for Quantum Meruit</u> The requisite elements of quantum meruit are (1) the plaintiff acted pursuant to "an explicit or implicit request for the services" by the defendant, and (2) the services conferred a benefit on the defendant. (*Day v. Alta Bates Medical Center* (2002) 98 Cal.App.4th 243, 249.) The FAXC alleges that Cross-Defendants failed to return or reimburse Benson's money and were unjustly enriched. (FAXC, ¶¶ 99–106.) It does not allege that Benson performed any services for Cross-Defendants, that Cross-Defendants requested or accepted any such services, or that Benson otherwise conferred a benefit on them. The allegations therefore do not state a claim for quantum meruit. The demurrers to the tenth cause of action are SUSTAINED with leave to amend. <u>Thirteenth Cause of Action for Unfair Business Practices</u> "The UCL prohibits, and provides civil remedies for, unfair competition, which it defines as 'any unlawful, unfair or fraudulent business act or practice.' [Citation.] Its purpose 'is to protect both consumers and competitors by promoting fair competition in commercial markets for goods and services.' " (*Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 320, 120.) The law is broad and sweeping, embracing anything that can properly be called a business practice and that at the same time is forbidden by law. (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 180.) A plaintiff alleging unfair business practices under these statutes must state with reasonable particularity the facts supporting the statutory elements of the violation. (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal. App. 4th 612, 619.)

		The FAXC identifies numerous statutes as predicates for the UCL claim and generally alleges that Cross-Defendants engaged in unlawful or unfair practices. (FAXC, ¶¶ 125–127.) It further alleges collectively that "Defendants" forged Benson's signature and used Ayala's notary seal. (FAXC, ¶¶ 128–131.) The FAXC does not allege sufficient facts establishing a violation of the statutes identified as predicates for the UCL claim. Because an "unlawful" UCL claim depends on an adequately pleaded violation of another law, the mere listing of statutes without facts establishing their violation is insufficient. The demurrers to the thirteenth cause of action are SUSTAINED with leave to amend. Because the demurrers are sustained in their entirety, the motion to strike and related joinder are DEEMED MOOT. Should Cross-Complainant wish to file an amended cross-complaint that addresses the issues identified in this ruling, Cross-Complainant must file and serve it within 15 days after service of notice of this ruling. Moving Cross-Defendants to give notice.